FOUNDATIONS OF FINANCE (ECO 331)
(END TERM – MONSOON 2025)

Time: 90 MINUTES **Max. Marks: 40**

This question paper consists of two-parts **Part A** – 20 marks; **Part B** – 20 marks.
Part A: Each fill in the blank question is of **2 marks**. Only correct answer rounded off to **2 decimal places** should be written. No working is needed.
Part B : Marks are indicated alongside the question. Please show proper working and state clearly any assumptions that you make. Begin answering each question in Part B from a fresh page.

PART A

1. Ms. Shruti is 45 years old and plans to retire at 60. Her life expectancy is 80 years. Ms. Suman her Financial Planner, estimates that her client will require Rs.540,000 in the first year after retirement (end of year). This amount will increase with by 6% p.a. and the rate of return is 10% p.a. What will be the savings per year required in order to meet this? ________________________

2. Gaurav received an inheritance of Rs. 20 Lakh. He wants to withdraw equal periodic payments at the beginning of each month for 10 years starting after 10 years. He expects to earn 12% annual interest, compounded monthly on his investments. How much can he withdraw each month? The withdrawal takes place at the beginning of the month ___________________________

3. A stock's price currently is Rs.100. An analyst forecast the following for the stock:
- The normalised trailing price earnings (P/E) ratio will be 12.
- The stock is expected to pay Rs.5 dividend this coming year on projected earning of Rs.10 per share.

If the analyst were to buy and hold the stock for the year, the projected return based on these forecasts will be: ___________________________

4. The following data pertains to a firm's common stock:
- The stock will pay no dividends for 2 years
- The dividend three years from now is expected to be Re.1.
- Dividends are expected to grow at a 7% rate from that point onward.

If an investor requires 17% return on this investment, how much will the investor be willing to pay for this stock now? ________________________________

5. A company's common size financial investments show the following information:

Earnings after taxes	15%
Current liabilities	20%
Equity	45%
Sales	Rs.800
Cash	10%
Total Assets	Rs.2,000
Accounts receivable	15%
Inventory	20%

Company's current ratio is ____________________________.

6. The following data pertains to a company's common size financial statements

Current assets	40%
Total debt	40%
Net income	16%
Total Assets	Rs.2,000
Sales	Rs1,500
Total asset turnover	0.75
The firm has no preferred stock	

What is the company's return on common equity? ______________________________

7. You are given the following information about a company

Net sales	4,000
Dividends declared	170
Cost of goods sold	2,000
Inventory increased by	100
Accounts payable increased by	300
Cash expenses for other inputs	500
Long term debt principal repayment	250
Cash tax payments	200
Purchase of new equipment	300

The company's cash flow from operations, based on this data only is __________________

8. Mt Abu corporation has the following data

Target debt equity ratio for the company is 0.5. Company's bonds are currently yielding 10%. The company's constant growth rate is 5%. It just paid a dividend of Rs.3. The company's share quotes at Rs.31.50 per share. The company's tax rate is 40%

The company's weighted after-tax cost of capital is: _______________________

9. A successful alumnus of your college decided to set up a scholarship for deserving students of the college. Her plan is for the fund to be capable of awarding Rs.250,000 annually in perpetuity. The first scholarship is to be awarded and paid out exactly four years from today. The funds will be deposited into an account immediately and will grow at a rate of 4% p.a. compounded semi-annually, for the foreseeable future. How much money must the investor donate today to fund the scholarship?

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10. Plywood Industries reported the following information about the company for the last year

Net Sales	50,000
Cash expenses	3,250
Cash inputs	17,000
Cash taxes	7,000
Increase in receivables	500
Depreciation expense	1,000
Cash flow from investing	-5,000
Cash flow from financing	-4,250

If the cash balance increased by Rs.13,000 over the year, what is the cash flow from operations?

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PART B

1. Have-More Pizza's common stock currently sells for Rs.35.00 per share, the company expects to earn Rs.5 per share during the year, its expected payout ratio is 70%, and its return on equity is 20%. New stock can be sold to the public at the current price, but a flotation cost of 8% would be incurred.

a) Find the cost of retained earnings and the cost of new stock.

b) By how much would the cost of new stock exceed the cost of retained earnings? *(3, 1)*

2. A company's WACC is 11% and its tax rate is 35%. The company's pre-tax cost of debt is 10% and its debt equity ratio is 0.6. The risk-free rate is 8% and the market risk premium is 7%. What is the beta value (β) of the company's equity? *(4 marks)*

3. The following ratios are given for Sharp Shooters Corporation. Complete the statements that follow. Show proper working

Net profit margin ratio	4%	Net Profit/sales
Current ratio	1.25	Current assets / current liabilities
Return on Total Equity or Net worth (equity + Reserves)	15.23%	Net Profit /Total equity
Total debt to total assets	0.4	(Long term + short term debt) / total assets
Inventory Turnover ratio	25	Sales / inventory

Income Statement (*there are no other items***)**

Sales	
Cost of Goods sold	
Other operating expenses	700
Earnings before interest and taxes	
Interest	45
Earnings before tax	
Tax Provision (50%)	
Earnings after tax (Net profit)	

Balance Sheet (*there are no other items***)**

Net Worth		**Fixed Assets**	
Long term debt (15% interest)		Cash	
Accounts payable		Receivables	60
		Inventory	
		Total Current assets	180

(12)